

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **As earnings season** winds down, top- and bottom-line results from S&P 500 companies are beating expectations that had been lowered after Trump announced his sweeping tariffs in April. **A1**
- ◆ **Airfares rose 4% on average** in July from the prior month, according to seasonally adjusted federal data, the first such increase since January as bookings pick up. **B1**
- ◆ **Air Canada is facing** a crisis after the carrier's flight attendants walked off the job over the weekend and rejected a government order to return to work. **B3**
- ◆ **Fast-food chains are** piling into crispy chicken this summer, tempting diners with an array of poultry preparations in the knowledge that billions of dollars in sales are on the line. **B1**
- ◆ **Worsening sales trends** at three restaurant chains raised warnings about the commitment of fast-casual consumers and whether they will continue to pay up for expensive lunch bowls. **B3**
- ◆ **U.S. tariffs on Brazilian** goods are compelling American burger joints to source their beef from other cattle-rich countries with no guarantee that all the demand can be met. **B2**
- ◆ **The automatons showed** some shortcomings in basic skills at the World Humanoid Robot Games in Beijing, where they competed in sporting events and the completion of mundane real-world tasks. **B1**
- ◆ **Startup XperiencOps** aims to use artificial intelligence and a "knowledge graph" to automate run-of-the-mill IT operations. **B4**

World-Wide

- ◆ **When Zelensky returns** to the Oval Office on Monday the Ukrainian president will face the crux of sustaining Trump's support for his defiance of Moscow while responding to Russian territorial proposals he feels compelled to refuse. **A1, A6**
- ◆ **European leaders** will travel to Washington with Zelensky, aiming for unity in resisting Russian efforts to dictate peace terms for the war in Ukraine. **A7**
- ◆ **Russian President Vladimir Putin** used his appearance at the summit with Trump in Alaska to press his demands on Ukraine while turning longstanding narratives about the war there on their head. **A7**
- ◆ **More National Guard** troops are heading soon to Washington, D.C., and are preparing to start carrying weapons, officials said. **A4**
- ◆ **San Francisco has** embraced a new legal tool to clear homeless camps, recording a 10-fold increase in illegal-lodging arrests and citations in the 12 months through July from a year earlier. **A3**
- ◆ **Bolivia's once-dominant** left was swept aside in Sunday's presidential election, with voters handing the ruling party the worst electoral defeat in two decades in the first round of voting. **A7**
- ◆ **A Hong Kong** pro-democracy activist and a former lawmaker wanted by the city's authorities were granted asylum in the U.K. and Australia, respectively. **A7**
- ◆ **Died: Greg Iles, 65,** "Natchez Burning" author. **A2 ... Terence Stamp, 87,** versatile British actor. **A7**

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Growing Frustration Spurs New Israel Protests



TOMER APPELBAUM/REUTERS

WAR PRESSURE: Protesters block an access road to Tel Aviv on Sunday after families of hostages held in Gaza led nationwide protests and a strike calling for their loved ones to be freed and for an end to the war in Gaza. **A18**

Strong Crop of Earnings Eases Investors' Economic Concerns

By SAM GOLDFARB

The job market is cooling. Tariff rates are rising. But American companies still seem to be doing just fine. With the latest earnings season nearly done, top- and bottom-line results from companies in the S&P 500 are handily beating expectations that had been lowered after President Trump announced sweeping duties on imports in April.

Profits are expected to have risen around 12% in the second quarter from a year earlier, according to FactSet, far ahead of the 5% growth analysts predicted in early July. While much of that earnings growth has been driven by tech companies, corporate chiefs also have sounded more optimistic about the economy than they did in the spring. Earnings calls including the word "recession" have plummeted 84%, according to AI-

phaSense.

Those signals have helped major stock indexes power to records in recent weeks. The S&P 500 has climbed 29% off its lows in April and now stands 9.7% higher on the year. Recent economic data have been mixed, with disappointing jobs numbers balanced in part by subdued unemployment claims and a decent retail-sales report. Two inflation reports last week also

sent conflicting messages, with encouraging consumer-price index data followed by a more concerning report on wholesale inflation. Some investors, though, said they are likely to continue buying as long as corporate earnings are good. This week, they will seek further insight into the health of the consumer as the reporting season effectively wraps up with results from big box

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Erik Prince Is Back in Mercenary Business

Blackwater founder seeks new mission

By BENOIT FAUCON
AND VERA BERGENGRUEN

LIMA, Peru—Edwin Ajahuana, a mine owner from high in the Andes, spent 23 hours traveling by road to meet the mercenary he hoped could protect his workers and assets. At the bougainvillea-adorned headquarters of a conservative think tank in Lima, he joined other business owners urging Erik Prince, the founder and controversial former leader of Blackwater, to bring law and

order to the gold-laden mountains of the Puno region. "The dead keep turning up on roads, in dumps, in garbage bins," Ajahuana told Prince. "For us, the state almost doesn't exist. We have been abandoned." The former Navy SEAL had his own pitch ready. Prince showed drone footage of his mercenaries in Haiti helping hunt and kill alleged gang members under a government contract he struck in March. For an asking

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INSIDE



SPORTS
The Houston Astros are Major League Baseball's dynasty that refuses to die. **A14**



BUSINESS & FINANCE
At the Robot Games, humanoids compete in sports but struggle with basic chores. **B1**

Gamblers Make Sport of AI Models

By BEN RAAB

Now that AI developers are getting paid like pro athletes, it is fitting that fans are placing big bets on how well they are doing their jobs. On Kalshi, Polymarket and other sites where people wager "predictions" on real-world events, gamblers lay down millions each month on their picks for AI's top model. The AI arms race is playing out in plain sight on social media, ranking sites and obscure corners of the internet where enthusiasts hunt for clues. The constant buzz makes the topic appealing for wagers, though not every scrap of information is meaningful. Foster McCoy made \$10,000 in a few hours in

early August by betting against the success of OpenAI's GPT-5 release. The 27-year-old day trader noticed people were misreading an online ranking site that appeared to hype GPT-5, so he put \$4,500 on its competitor, Google's Gemini, to be "Best AI This Month." As more bettors fell in line with his call, he cashed out. That was just another day for McCoy, who has traded \$3.2 million on Kalshi since the start of 2025—making \$170,000. He is part of a growing contingent of bettors making hundreds of trades a week on AI markets, on a range of wagers such as "Best AI at the end of 2025," "AI regulation becomes federal law this

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Rush to Hire ICE Agents Spurs \$50,000 Bonuses, No Age Caps

By VICTORIA ALBERT
AND JACK MORPHET

Uncle Sam. Miami Vice. When it comes to recruiting new Immigration and Customs Enforcement officers, the Trump administration is getting creative. A social-media campaign launched late last month touted immigration enforcement as an opportunity for father-son bonding and to "deport illegals with your absolute boys," a slang term for close friends. The Department of Homeland Security has invoked world-war-era imagery and touted 1990s Superman actor Dean Cain in an all-out blitz to persuade Americans they should join ICE's ranks.

The federal government also offered hefty incentives: up to \$50,000 in signing bonuses and up to \$60,000 in student-loan forgiveness. No undergraduate degree is required. DHS also lifted the age cap for law-enforcement roles, opening a deportation officer position specifically for people over 40, and tried to woo back retired law-enforcement officials with a "return to mission" campaign. "America has been invaded by criminals and predators," the agency says on its recruiting website. "We need YOU to get them out." President Trump's massive tax and spending bill allocated more than \$150 billion for immigration enforcement, kicking off a rapid effort to scale

operations and fulfill his goal of carrying out the largest deportation effort in U.S. history. ICE deported 144,000 people through the end of June, according to a Wall Street Journal analysis of government data released by the Deportation Data Project. That is slightly more than the 136,854 people deported during the same time last year under the Biden administration, ICE data showed. A major part of Trump's effort is hiring more people to arrest, investigate and prosecute

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- ◆ **Feds make a show of force** on streets of capital..... **A4**
- ◆ **Deployment of Guard to D.C. will grow**..... **A4**